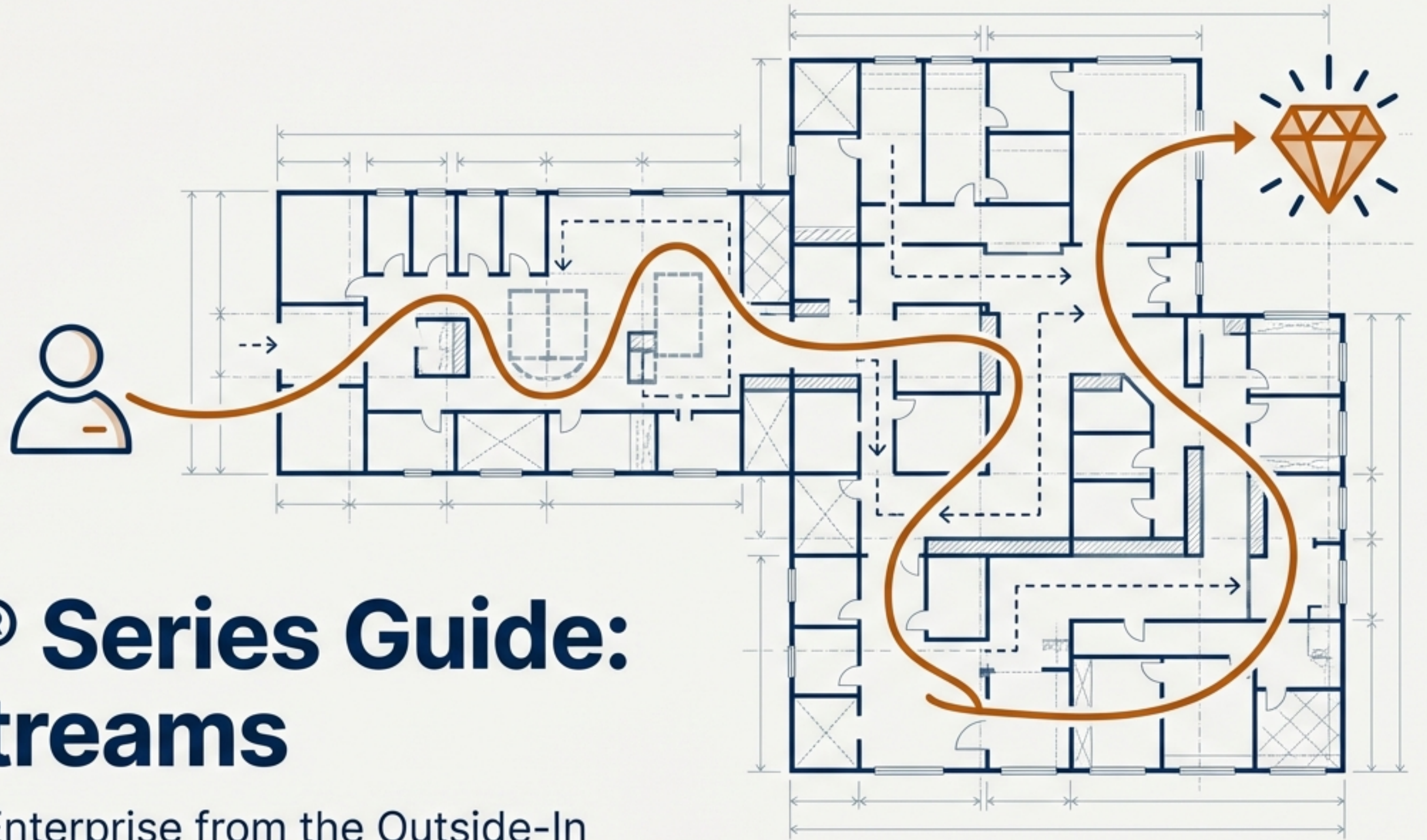




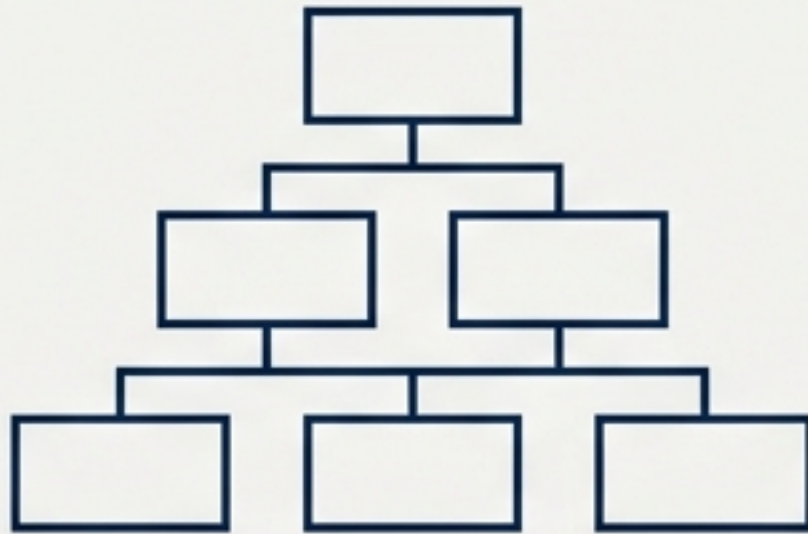
TOGAF® Series Guide: Value Streams

Architecting the Enterprise from the Outside-In

Based on TOGAF® Series Guide G178

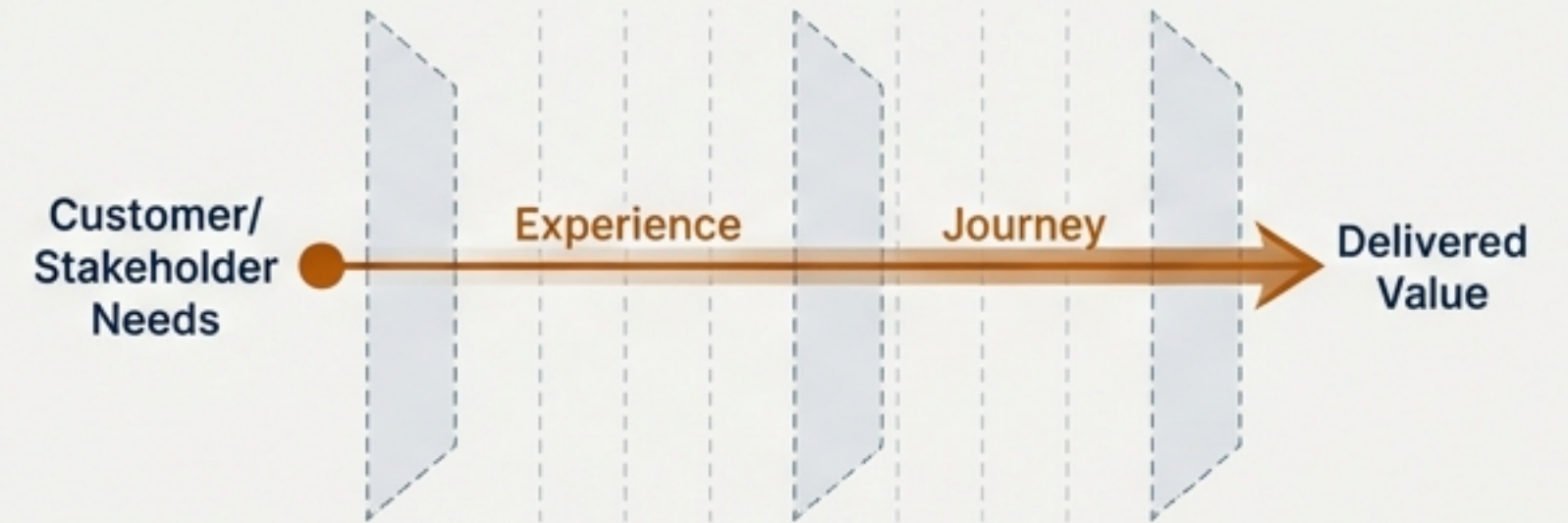
Shifting the Architectural Perspective

Inside-Out Thinking



- Traditional focus on internal processes.
- Driven by organizational charts and functional silos.
- **Goal:** Cost optimization and efficiency.

Outside-In Thinking



- Focus on **value creation** as perceived by the stakeholder.
- Driven by the **customer journey** and experience.
- **Goal:** Usefulness, advantage, and benefit.

Key Insight: The primary reason an organization exists is to provide value to one or more stakeholders. The **Value Stream** is the model for this existence.

The Construct of a Value Stream

Definition & Core Elements

An end-to-end collection of value-adding activities that create an overall result for a customer, stakeholder, or end-user.

01

Name

Must use an active verb-noun construct.

Acquire Retail Product 

Retail Product Acquisition 

02

Description

Precise scope of activities defined clearly.

03

Stakeholder

The person or role who initiates or triggers the stream.



04

Value

The outcome expressed in stakeholder terms (utility or benefit), not internal metrics.



Distinguishing the Model from Adjacent Concepts

Porter's Value Chain	Lean Value Stream	Business Architecture Value Stream
Economics Focus	Manufacturing Focus	TOGAF / Strategy Focus
• Focus: Economic value, costs, and margins. • Goal: Competitive differentiation via cost behavior. • Structure: Primary vs. Support Activities.	• Focus: Process efficiency and time. • Goal: Waste elimination (materials and information flow). • Metric: Processing Time, Response Time.	• Focus: The Stakeholder's view of value creation. • Goal: Realizing the business model and orchestration of capabilities. • Metric: Stakeholder value realization.

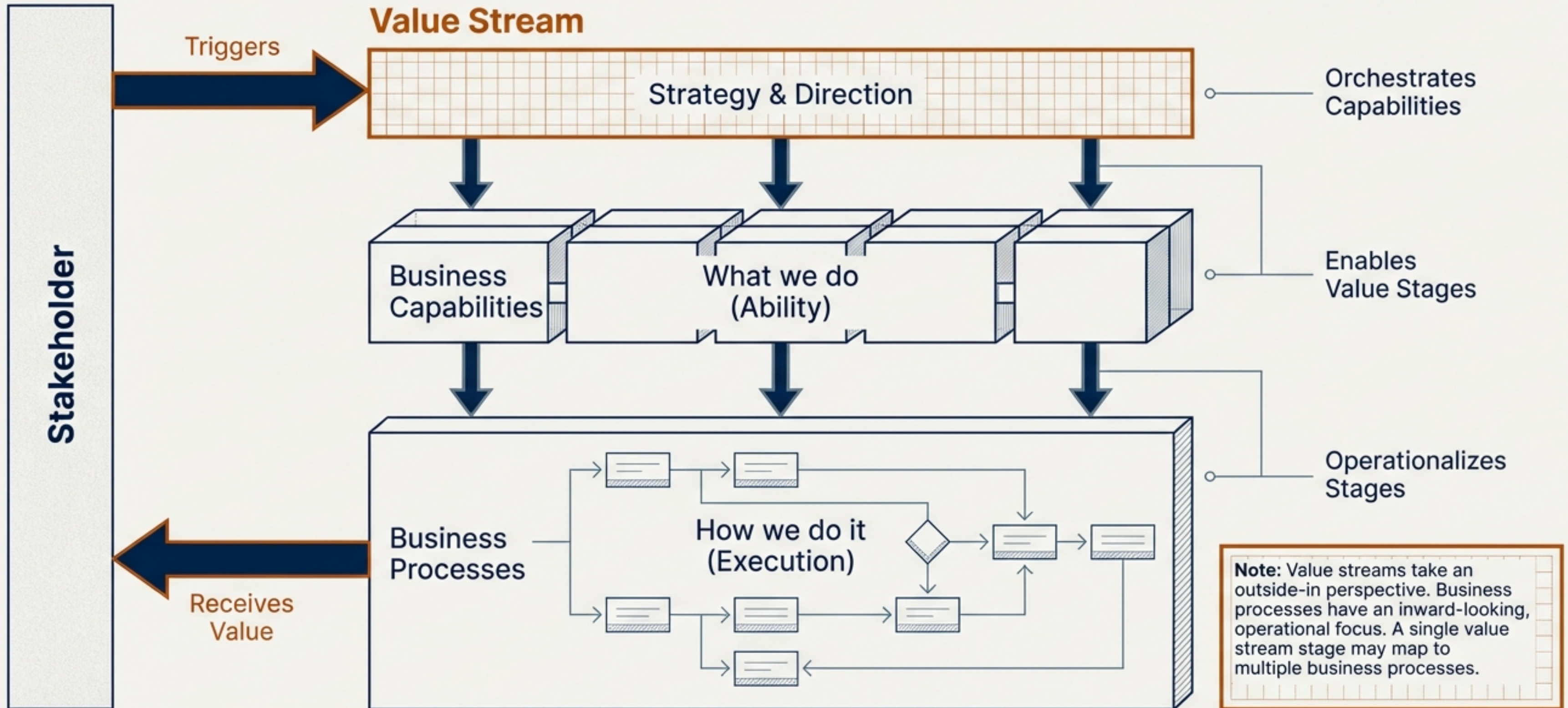
The Anatomy of Decomposition

Breaking down the Value Stream Stage



Value is rarely created in a single step. It is achieved through sequential stages, each adding a specific Value Item.

The Ecosystem of Architecture



Guiding Principles for Creation

1

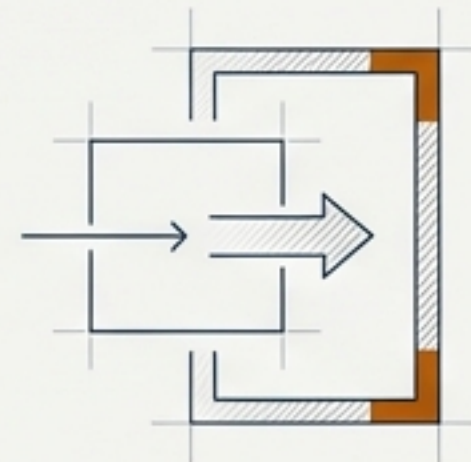
Stakeholder Trigger

There must be a clearly defined triggering stakeholder (e.g., a customer initiating a discussion).

2

Start External

Begin with customer-based streams to frame the range of possible internal streams.

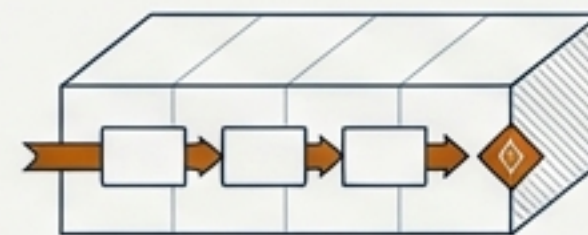


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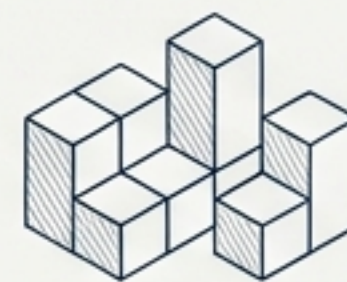
Not Capabilities

Value streams describe the sequence of activities; Capabilities describe the ability to perform them. They are distinct concepts.

3



Value Stream

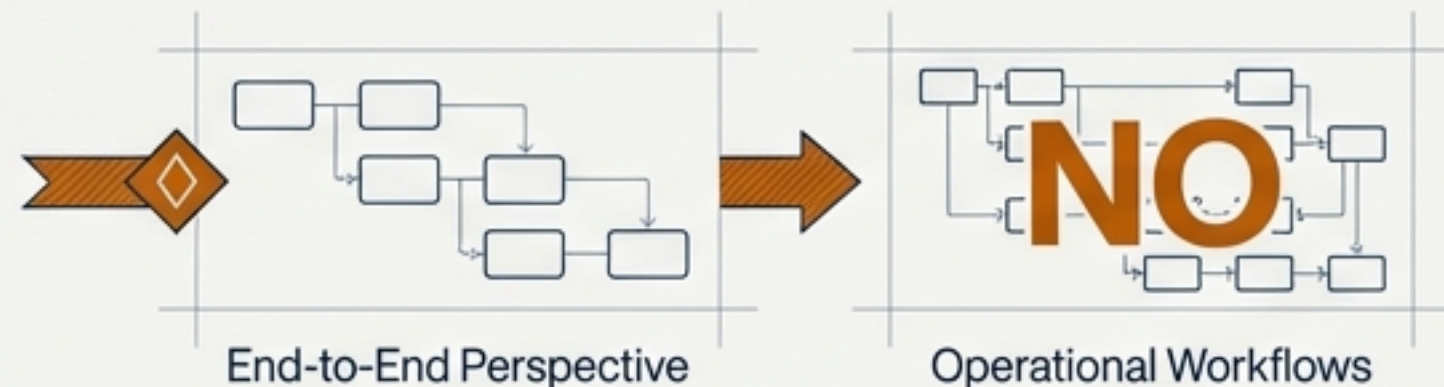


Capabilities

4

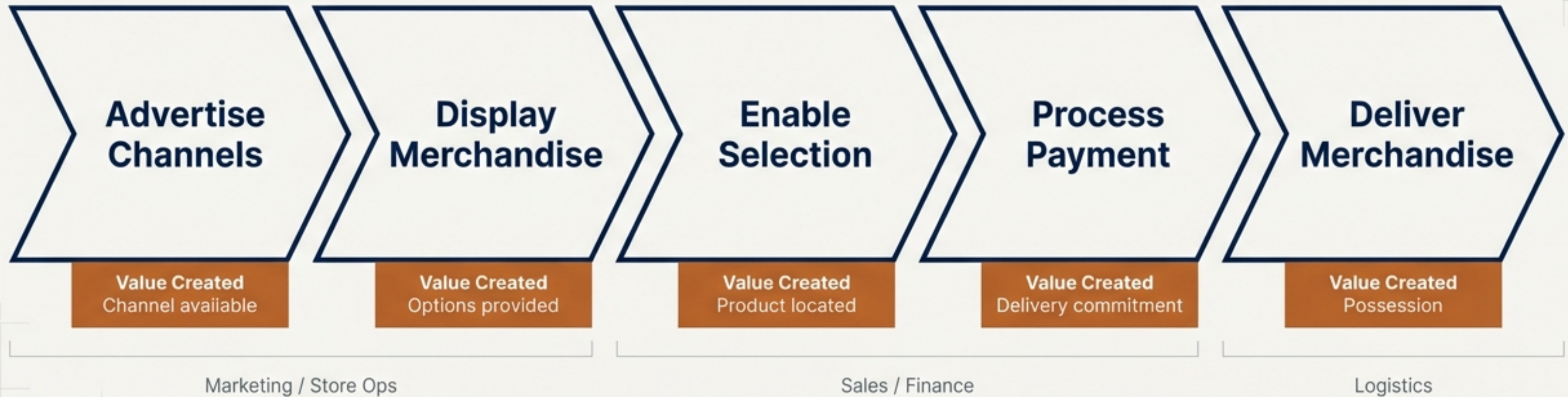
Keep it Concise

Avoid operational levels of detail. If you are modeling workflows, you are designing processes, not value streams. Strategy requires an end-to-end perspective.



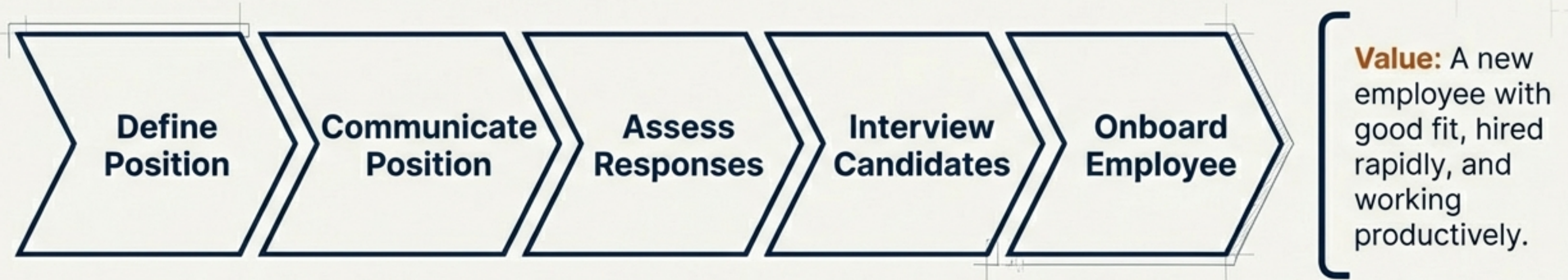
Baseline Scenario: Acquire Retail Product

External Value Stream triggered by a Shopper



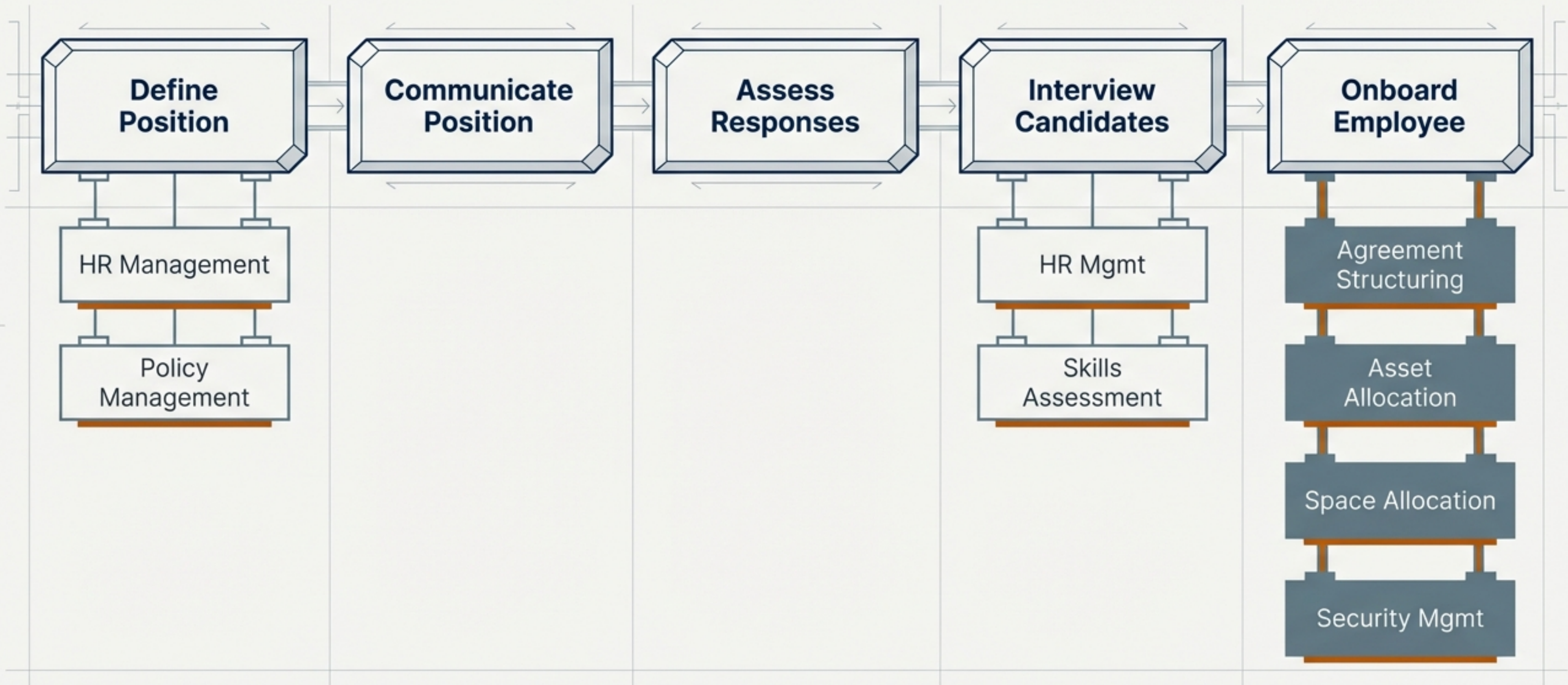
Internal Scenario: Recruit Employee

Internal Value Stream triggered by Hiring Manager



Context: We need to understand exactly what abilities enable this stream to function. This setup prepares us for Capability Mapping.

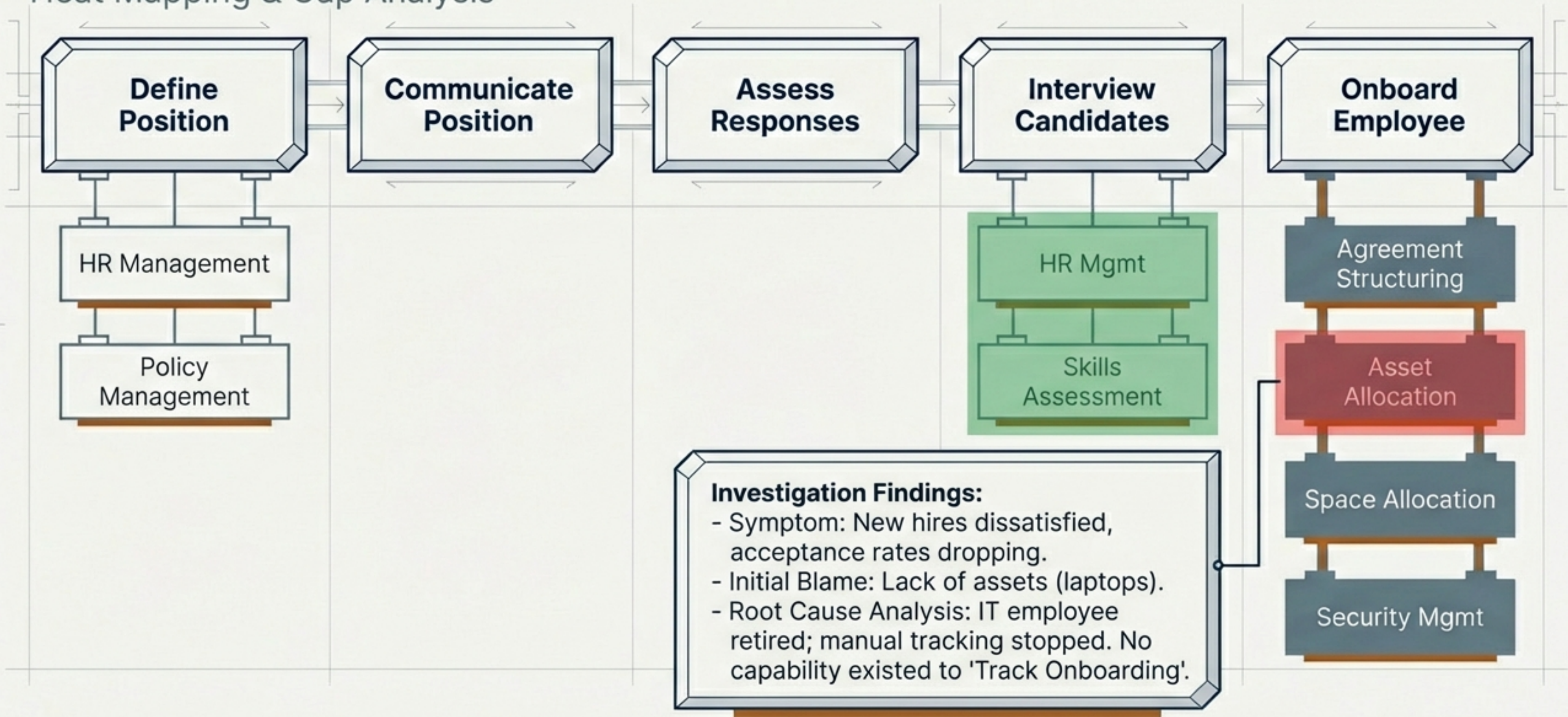
Cross-Mapping Capabilities to Stages



This mapping identifies which business capabilities are critical to delivering stakeholder value at each specific stage.

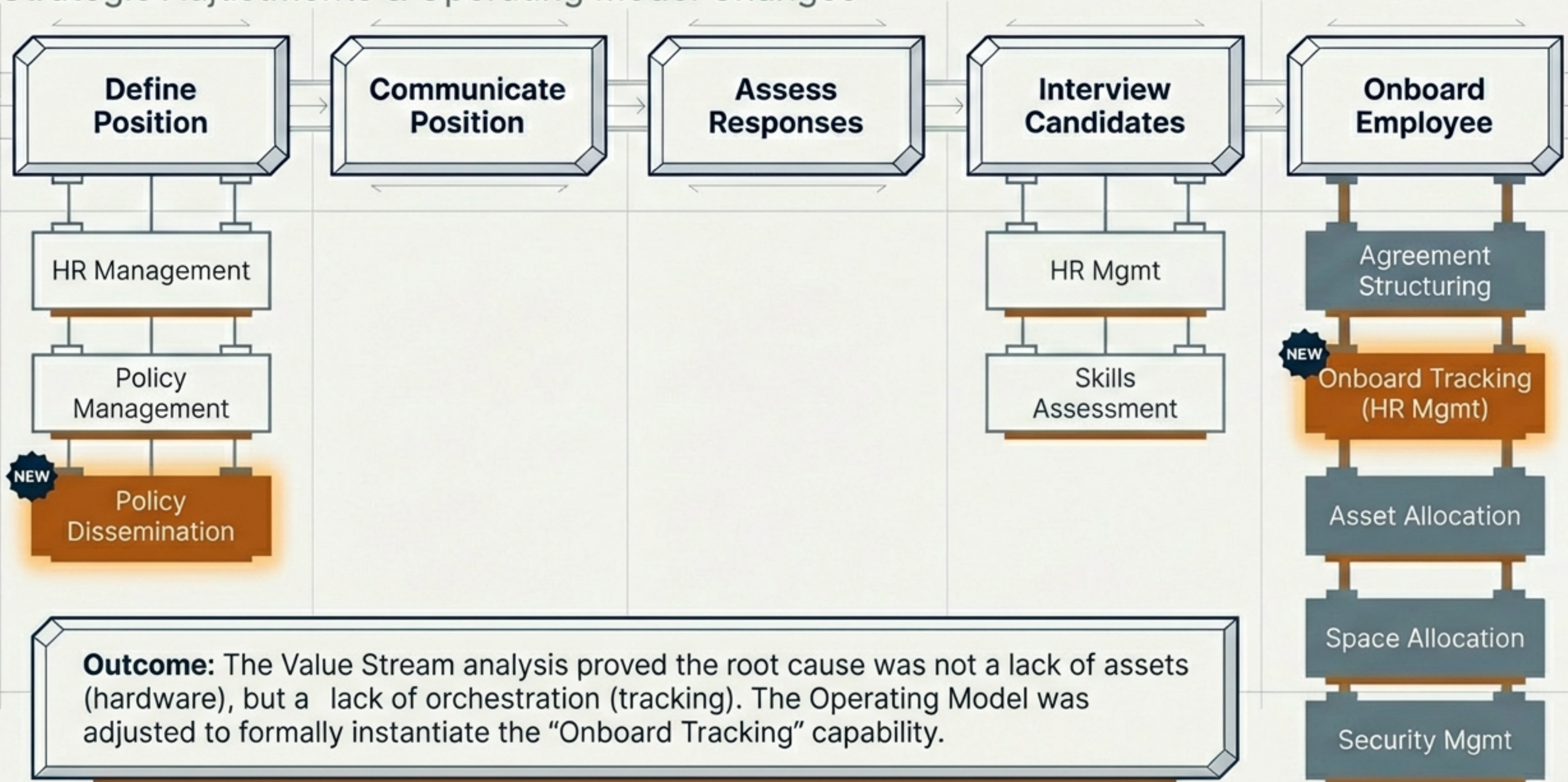
Diagnostic Application: The 'Onboarding' Gap

Heat Mapping & Gap Analysis



Resolving the Architecture

Strategic Adjustments & Operating Model Changes



Strategic Value to the Enterprise

Prioritization

Helps leaders envision the impact of strategic plans and prioritize investments based on actual **value creation**.

Context

Views business capabilities through a **customer-centric lens** rather than a functional silo.

Requirements

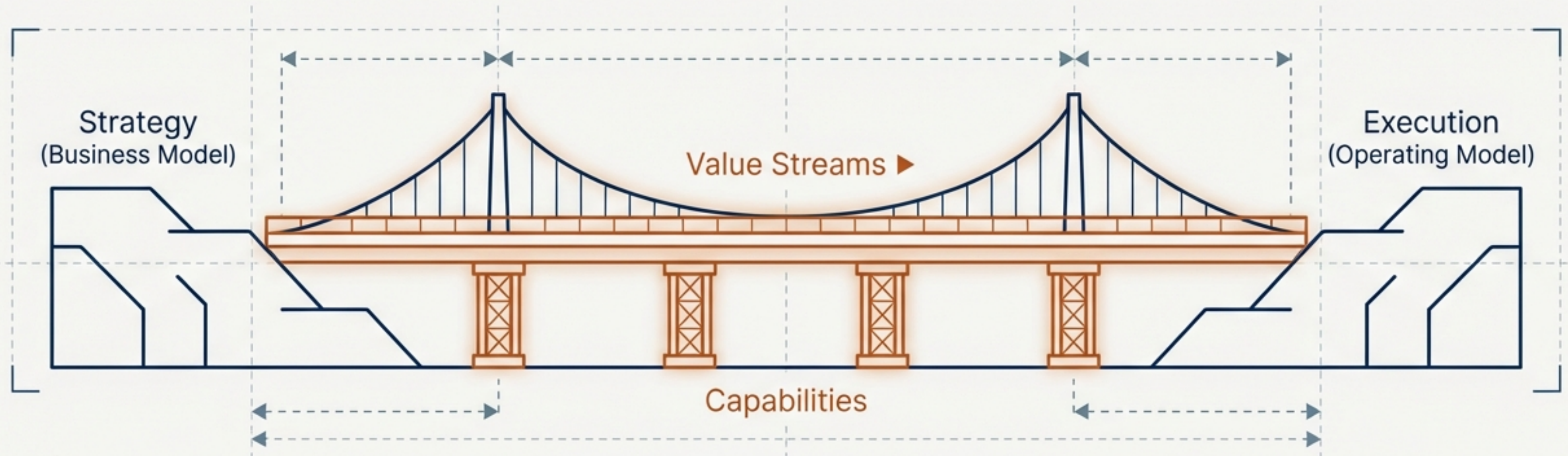
Provides a framework for more **effective business requirements** and solution design.

Model Optimization

Identifies **effective business and operating models** that 'inside-out' approaches miss.

The Bridge Between Models

Conclusion



Value streams and capabilities form a powerful analytical device. Together, they unpick the constituent parts of a business to understand its inner workings and alignment with the mission.